EXECUTIVE SUMMARY

1. Introduction

a. Agency Profile

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. During the incumbency of then Mayor Leandro Pagurayan, sometime in December of 1971, a resolution was passed changing the name Faire to Sto. Niño.

For CY 2015, the Municipality of Sto. Niño had a total of 317 personnel complement with 88 permanent, 11 elective, 1 temporary, 2 co-terminus, 8 casual and 120 job order status.

b. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY2015 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS); whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2015 with comparative figures for CY 2014 are as follows:

	2015	2014	Increase (Decrease)
Financial Position			
Total Assets	₱183,330,058.14	₱173,097,994.61	₱10,232,063.53
Total Liabilities	46,516,300.95	49,220,498.33	(2,704,197.38)
Total Government Equity	139,813,757.19	123,877,496.28	15,936,260.81
Financial Performance			
Total Income	114,543,714.52	100,018,613.53	14,525,100.99
Total Expenses	79,999,551.64	73,668,334.23	6,331,217.41
Appropriations, Allotments and Obligations			
Total Appropriations – Current	113,545,658.00	99,844,238.00	13,701,420.00
Total Obligations	89,494,130.07	86,652,091.29	2,842,038.78
Total Appropriations -			

Continuing	23,575,779.99	10,911,516.80	12,664,263.19
Total Obligations - Continuing	11,132,608.23	528,589.22	10,604,019.01

The Municipality received fund transfers from other agencies totaling P19,085,845.00 and transferred no funds to other agencies during CY 2015 with comparative figures for CY 2014, as follows:

	2015	2014	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱19,085,845.00	₱11,077,560.00	₱ 8,008,285.00
Local Government Units	-	3,150,000.00	(3,150,000.00)
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Total	**₱19,085,845.00**	**₱14,227,560.00**	**₱ 4,858,285.00**
Funds Transferred to:			
NGAs	₱ -	₱ -	₱ -
Local Government Units	-	-	-
NGOs/POs	-	-	-
Total	**₱ -**	**₱ -**	**₱ -**

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Sto. Nino, Cagayan for the year-ended December 31, 2015 due to the following:

a. Absence of adequate accounting and property records to support the balance of the recorded Property, Plant and Equipment (PPE) account totaling ₱96,404,684.25. Consequently, the related accumulated depreciation expenses for 2015 and prior years were not recognized in the books on all depreciable properties.

b. Lack of a certified list and/or subsidiary ledgers of taxpayers to support the recorded balance of Real Property Tax (RPT) Receivable and Special Education Tax (SET) Receivable accounts totaling P5,403,997.62 and P18,394,647.58, respectively.

c. Unreconciled difference of ₱6,373,793.48 in the Cash in Bank account per balances in the General Ledger against balances per bank statements as a result of the continued non-preparation of monthly Bank Reconciliation Statements (BRS) to ascertain the reliability and accuracy of the Cash – Local Currency- Savings Account with a total balance of ₱53,430,508.50.

4. Summary of Significant Observations and Recommendations

a. The documentary and procedural requirements of the procurement law were not strictly followed by Management hence incomplete bidding documents were submitted for various projects totaling P4,484,932.71.

   We recommended that management submit the identified lacking documents to support the public bidding conducted and strictly observe the documentary and procedural requirements of the procurement law.

b. The acquisition of various goods and services totaling ₱5,940,549.35 did not pass through competitive bidding because Management did strictly comply with the provisions of Republic Act 9184 also known as the Government Procurement Reform Act.

   We recommended that management properly plan ahead its procurement activities and strictly monitor the modes of procurement being employed to avoid violations of the procurement law.

c. Projects funded out of the 20% Development Fund totaling P16,440,000.00 remained unimplemented as of December 31, 2015 because Management lacked effective strategies to address problems in the implementation.

   We recommended that management vigorously pursue the completion of the projects to be implemented the soonest time possible in order to achieve the objectives of the said projects in providing socio-economic benefits to the intended beneficiaries.

d. Management's assertions of occurrence, accuracy, validity and completeness of various transactions could not be ascertained because several disbursement vouchers (DVs) for payments totaling ₱1,013,614.33 and supporting documents for disbursements aggregating ₱4,122,116.86 were not submitted.

   Management should submit all the identified DVs together with the supporting documents and submit the lacking documentary requirements for the identified transactions.

5. Summary of Total Suspensions, Disallowances and Charges

The following shows the summary of suspensions, disallowances and charges as of December 31, 2015:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					

Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	₱165,000.00	₱ 103,500.00	₱32,000.00	₱ 236,500.00	11.92%
Current Year	-	-	-	-	
Total	*₱ 165,000.00*	*₱ 103,500.00*	*₱ 32,000.00*	*₱ 236,500.00*	*11.92%*
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 21 audit recommendations embodied in the 2014 Annual Audit Report, four were implemented, nine were partially implemented and eight were not implemented.